

UNIT-3

Forms of Business Organisation:-

- 1) Sole Trader.
- 2) Partnership.
- 3) Joint stock company.

1) Sole Trader:-

→ sole means "One", Sole Trader implies that there is only one trader who is the owner of business.

Features

- 1) It is easy to start & easy to close.
- 2) Introduces own capital, sometimes he may borrow if necessary.
- 3) Enjoys all the profit & in case of loss he alone suffers.
- 4) He has unlimited liability.
- 5) High degree of flexibility.
- 6) Business secrets can be guarded well.
- 7) There is no continuity.
- 8) He has total operational freedom.
- 9) He can be directly in touch with customer.
- 10) Prompt decision making.
- 11) Low rate of tax.

Advantages

- 1) easy to start & close.
- 2) personal contact with customer directly.
- 3) Prompt decision Making.
- 4) High degree of flexibility.
- 5) Secrecy.
- 6) Low rate of taxation.
- 7) Direct Motivation.
- 8) Total control.
- 9) Minimum interference from govt.

Disadvantages

- 1) Unlimited liability
- 2) limited amounts of capital.
- 3) No division of labour.
- 4) Uncertainty.
- 5) Inadequate expansion & growth.
- 6) Lack of specialization.
- 7) More competition.
- 8) Low Bargaining power.

2) Partnership firm

⇒ Indian Partnership Act (1932) defines the Partnership as the relationship between two or more persons who agree to share the Profits of business carried on by all (or) any one of them acting for all.

Features:

- Relationship.
- Two or more persons.
- There should be a business.
- Agreement.
- carried on by all or any one of them acting for all.
- Unlimited liability.
- No. of Partners.
- Division of Labour.
- Personal contact with customers.
- Flexibility.

Advantages

- easy to form
- Availability of larger amount of capital
- Division of Labour.
- Flexibility.
- Personal contact with customers.
- Quick decisions.

→ The Positive impact of unlimited liability.

Disadvantages

- Formation of Partnership is difficult.
- Lack of harmony (or) cohesiveness.
- Limited growth.
- Unlimited liability.
- Instability.
- Lack of public confidence.

Partnership deed

→ The return agreement among the partners is called Partnership deed. It contains the terms and conditions governing the working of Partnership.

Contents of Partnership deed.

- 1) Names and addresses of the firm and partners.
- 2) Nature of business proposed.
- 3) Duration.
- 4) Amount of capital of the Partnership and the ratio for contribution by each of the partners.
- 5) Profit sharing ratio.
- 6) Rate of interest charged on capital contributed, loan taken from the partnership and the

amounts
by there

7) The amount
any partner
8) Procedure
firm &
partner
partner

9) Allocation
in the

10) Procedure

11) Name
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3) Joint

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Features

- 1) Artificial
- 2) Separat

amounts drawn if any, but by the partners by their respective capital balances.

4) The amount of salary or commission payable to any partner.

5) Procedure to value good will of the firm at the time of admission of a partner, retirement or death of a partner.

6) Allocation of responsibilities of the partners in the firm.

7) Procedure for disolution of the firm.

8) Name of the Arbitrator to whom the disputes, if any can be referred to for settlement.

9) Special rights, obligations and liabilities of the partners if any.

3) Joint stock company

→ An association of many persons who contribute money or money's worth to a common stock and ~~to~~ employ it for common purpose.

Features:

- 1) Artificial person.
- 2) Separate legal existence

- 3) Voluntary association of persons.
- 4) limited liability.
- 5) Capital is divided into shares.
- 6) Transferability of shares.
- 7) Common seal.
- 8) Perpetual succession.
- 9) Ownership and management separated.
- 10) winding up.
- 11) The name of the company ends with Limited (Ltd).

Advantages:

- mobilization of larger resources.
- separate legal entity.
- limited liability.
- Transferability of shares.
- Liquidity of investments.
- Inculcates the habit of savings and investment.
- democracy in management.
- economies of larger scale production.
- continued existence.
- Institutional confidence.
- Professional management.
- growth and expansion.

Disadvantages:-

- Formation of a company is a long drawn procedure.
- high degree of government interference.
- delays in decision making.
- lack of initiative.
- lack of responsibility and commitment.